

Fearnleys Dry Bulk Weekly

Jul 30, 2025



Capesize/Newcastlemax

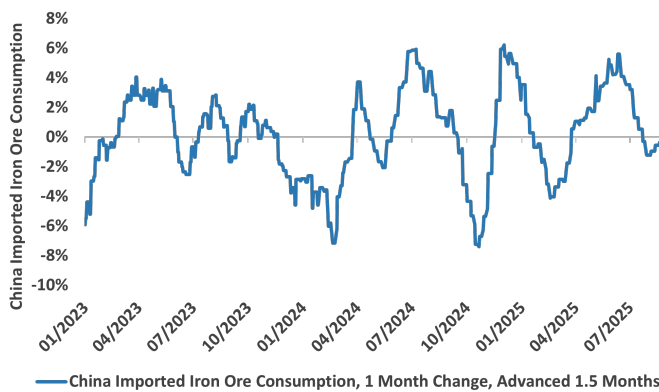
Last week, we wrote:

There was no consolidation period before the market jumped again. High season in Brazilian iron ore shipments, coupled with still higher imported iron ore consumption in China than last year, are the main factors keeping the market firm. Through week 29, Atlantic basin shipments are up 6.5% on last year, whereas total global shipments are down by 1.0%. The index is currently in the upper range of what has been seen over the last year and a half.

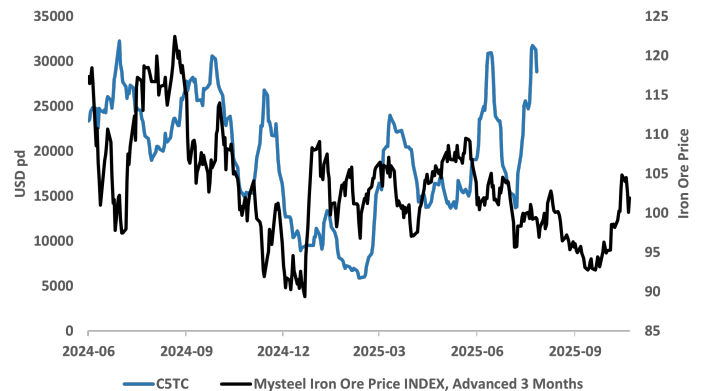
Congestion in China has dropped from the peak a few weeks ago, but apart from that, we do not see anything pointing clearly in either direction in ballast/laden vessel ratios or any other AIS indicator.

As total shipment volumes remain about 1% lower than last year, the market struggles to break higher than 30kpd, which has been the ceiling since May last year. As fundamentals are weaker than last year, the market floor is lower. Just three weeks ago, the market was in the low teens, and it is not unlikely that the ongoing correction will bring levels down there again before stabilizing. However, steel mills' profitability in China is pretty good, so there is a small risk of seeing a sudden drop in iron ore consumption (displayed on the lower left chart). Therefore, a low teens floor probably remains the worst case over the next couple of months.

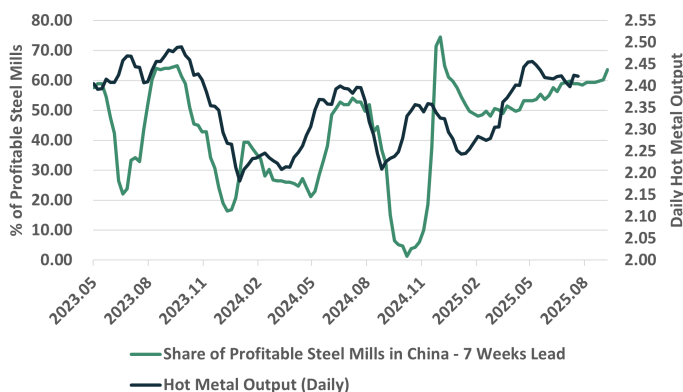
1 Month Change of China's Daily Imported Iron Ore Consumption, 1.5 Months Lead



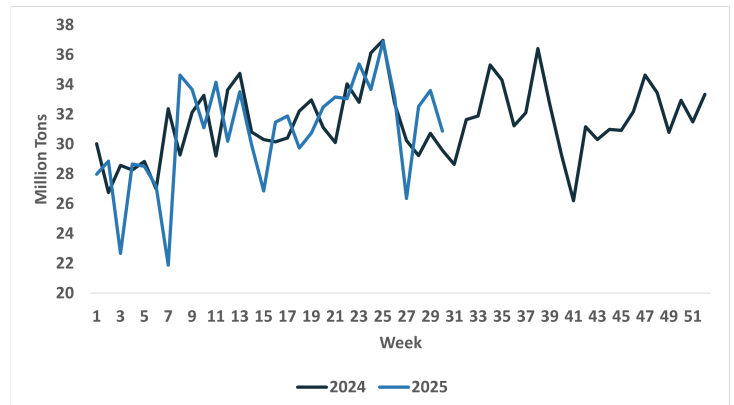
Iron Ore Price, 3 Months Lead, vs C5TC



China - Share of Steel Mills that are Profitable, 7 weeks lead, vs Daily Hot Metal Output



Capesize/Newcastlemax Total Shipment Volumes, 2024 vs 2025





Panamax/Kamsarmax

Last week, we wrote:

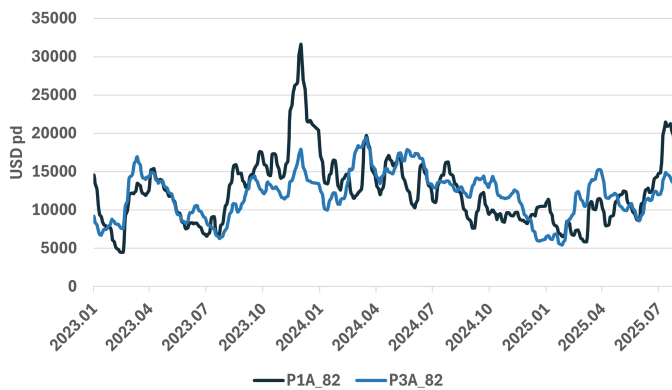
The market rally has been extreme in several ways. The Atlantic index has overshoot the Pacific index significantly, which usually results in a sharp market correction. Moreover, the Panamax Index is significantly higher than the Handysize Index, an indication that the rally will not be long-lasting. The reason for the latter is that it reflects that the rally is driven by temporary factors rather than a broad-based upturn in global economic growth.

As seen from the charts below, there has been a surge in thermal coal demand, due to global heatwaves. Adding to that, ECSAM grain shipments are performing better than last year. However, Soybean port inventories in China are now the highest in at least 5 years, which means the US season could be at risk.

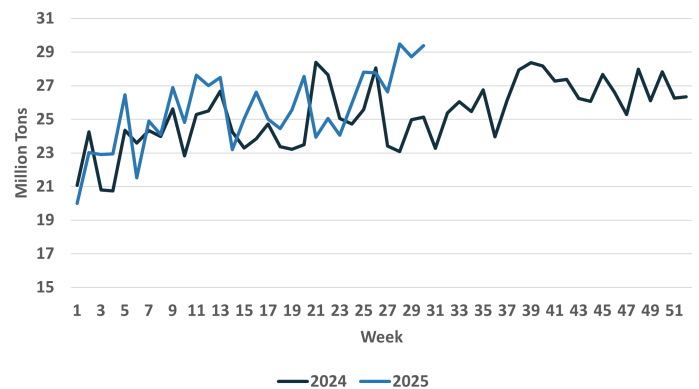
So, the current index level is likely to be temporary, but it is hard to say at what point an eventual correction happens.

The market correction has begun, and the fundamental backdrop for coal demand in the Pacific is expected to worsen. The TA index is likely to fall back to trade closer in value to the Pacific indices, as that always happens after an overshoot like the one that has happened in the last weeks.

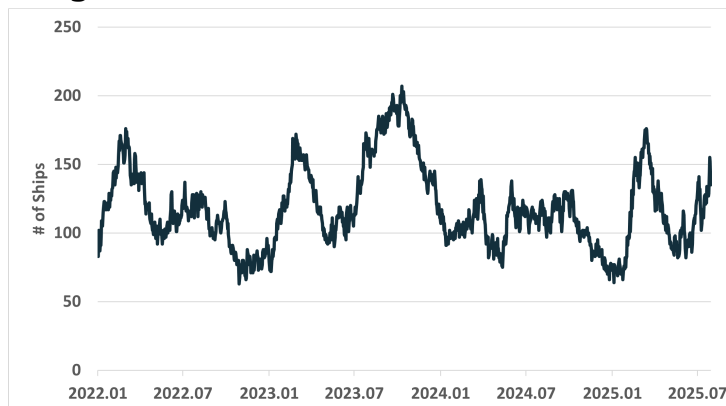
Panamax Atlantic vs Pacific Index



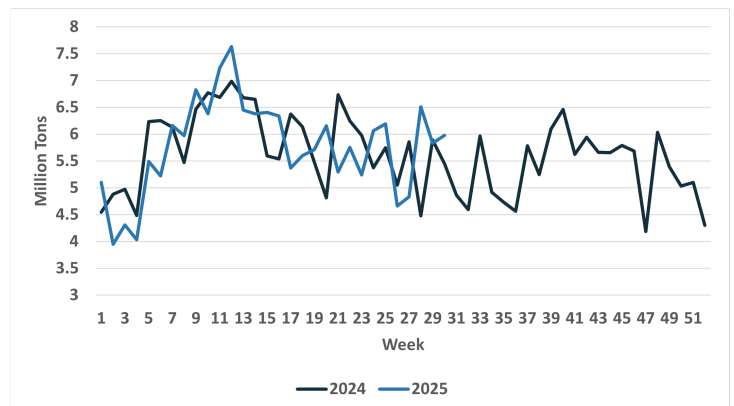
Panamax/Kamsarmax Total Shipment Volumes, 2024 vs 2025



Panamax / Kamsarmax Argentina and Brazil Congestion



Panamax / Kamsarmax Grains Loadings 24 vs 25



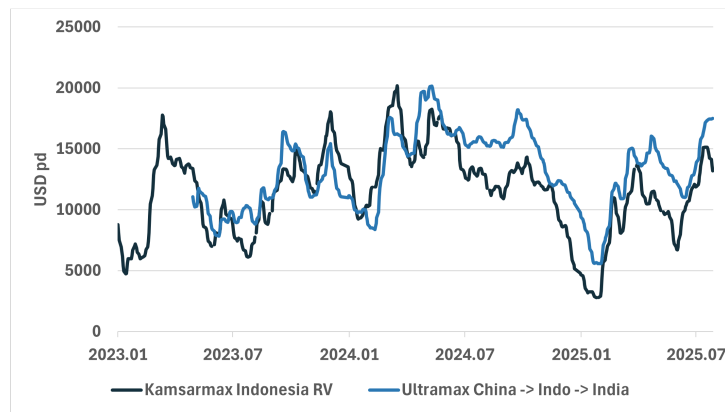
Supramax/Ultramax

Last week, we wrote:

Some routes are now under pressure, which could mean the market has entered a topping phase. As seen from the top left chart, coal shipment volumes surged last week to the second highest seen in the last year and a half. Much of the ongoing market strength will depend on how long the rush for coal lasts.

The Kamsarmax market has started to fall in the Pacific, so the Ultramax market is likely to follow. However, such a divergence might last for several weeks before the correction happens. Total shipment volumes in the Supra/Ultra segment are flat on last year, and the fleet has grown by 5% on last year. We think the Ultramax index eventually will fall back to the low teens, assuming we are correct in our fundamental outlook, which is that demand growth will not sustainably improve before next year.

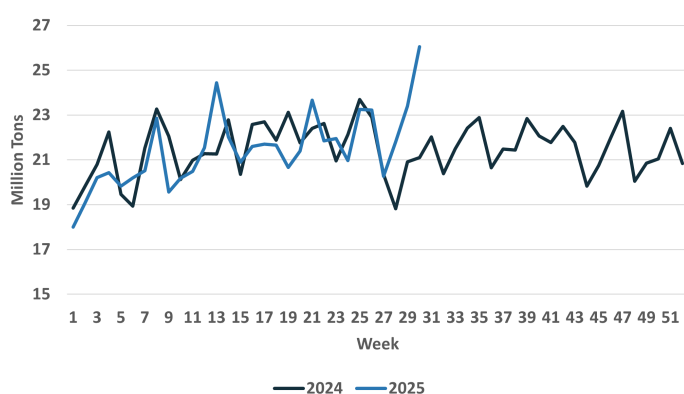
Growing Divergence Between Ultramax and Kamsarmax Indo Rounds



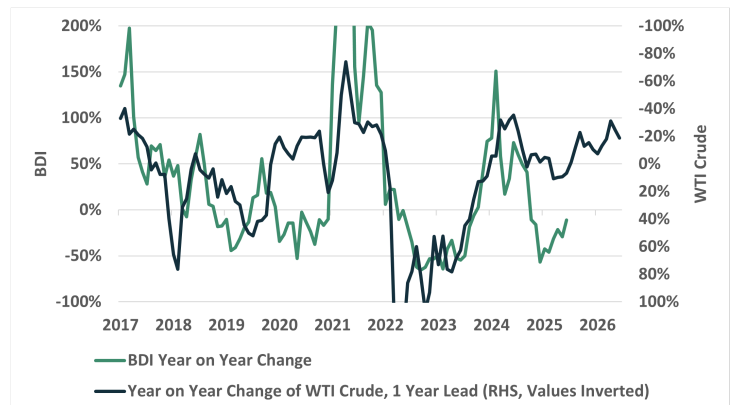
Ultramax Indices - USG to Skaw/Passero and Pac RV



Supramax/Ultramax Weekly Shipment Volumes, 2024 vs 2025



WTI Crude Oil Price YoY Change, 1 Year Lead, vs BDI YoY





Disclaimer

1. Introduction

The statistical and graphic information set forth in the analysis is compiled by Fearnresearch and based on the databases and time series supplied by Fearnresearch, the research division of Fearnleys AS, and other external sources of information. Fearnresearch compiles, processes and publishes data for the benefit of the brokering departments of Fearnleys AS and its clients. Its methodologies for collecting data, and therefore the data collected, may differ from those of other sources, and its data do not reflect all or even necessarily a comprehensive set of actual transactions occurring in the market. Certain estimates may be based on prevailing market conditions. There can be no assurance that such data reflect actual market conditions.

Data compilation, especially for earlier historical periods, is subject to limited audit and validation procedures. Both closed and open sources, interviews and market intelligence to gain information on different topics may be used. Accordingly, there can be no assurance as to the accuracy or completeness of the estimates, advice, statements and any other information contained in the analysis.

2. Risks

Research coverage of Fearnleys AS encompasses solely companies within the shipping sector. This sector is cyclical by nature and will over time presumably experience higher volatility than the overall market.

3. Confidentiality

Pursuant to Fearnleys' Code of Conduct, all employees of Fearnleys AS are subject to duty of confidentiality towards clients and with respect to handling inside information. All employees shall follow strict information handling procedures and other organizational procedures to minimize conflicts of interest within Fearnleys and between clients.

4. General Disclaimer of Liability

The analyses, estimates, advice, statement and any other information contained in the analysis are prepared and presented in good faith. However, neither Fearnresearch, Fearnleys AS nor any of their subsidiaries, associated companies, organisations, management personnel, employees, agents or independent contractors (collectively the "Fearnley Interests") shall under any circumstances be under any liability for any losses, damages or costs caused to any person, company or other legal entity arising or resulting directly or indirectly from reliance on any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information contained in the analysis resulting directly or indirectly from any negligent or gross negligent act(s) or omission (s), or wilful misconduct, committed by any of the Fearnley Interests.

In the event that a court or tribunal, notwithstanding the above liability exemptions, should hold any, some or all of the Fearnley Interests liable in damages for any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information, the liability shall not under any circumstances whatsoever exceed in total ten (10) times the fees payable for the analysis in question, or US\$ 100,000 (United States Dollar Hundred Thousand), whichever is the higher.

Under no circumstances whatsoever shall the individual or individuals who have caused the losses, damage or costs be held personally responsible or liable in any way. The Fearnley Interests shall under no circumstances whatsoever be liable for punitive damages.

The analysis is prepared to the benefit of the named addressee only. No other third party may rely on the analysis or any of its content without prior written approval of Fearnley Consultants AS.

Should any part of this clause be held unenforceable, non-operative or invalid by a court or tribunal, the remaining parts shall remain in full force.

5. Processing of Personal Data

The processing of personal data within Fearnleys AS is subject to strict rules and regulations. Our Privacy Policy describes the procedures for processing personal data according to the General Data Protection Regulation (GDPR). Please see our homepage for more information on this.

Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company